

Computer, Inc. had made its first sale at a profit of 100%. Steve Wozniak, who was at that time also employed with Hewlett-Packard, made an almost equal profit from the sale of 150 Apple I units by the end of the year. Apple had a turnover of approximately \$100,000 in their first year.

Apple II

However, the real jackpot for the company was the second computer designed by Woz, the Apple II. However, it wasn't such a huge success because of Wozniak's exceptional design; it was Steve Jobs' determination and force of will that led to the widespread success of the Apple II and firmly established Apple Computer as the top dog in the computer industry. He knew that for the Apple II to be a success, it had to be promoted well. In his mind, he envisioned a grand scale launch for their new product. To achieve this end, he called the Regis McKenna Advertisement Agency, the company that looked after the advertising for Intel. It took Jobs several calls a day for weeks on end to finally be allowed to speak to Mr McKenna himself.

When both the Steves turned up at McKenna's office, they were turned down by him even after having offered a detailed overview of their product and the plans they had for the future. Jobs refused to leave the office until McKenna agreed to take up Apple Computer as a client. In a decision that later proved profitable to both parties, McKenna agreed to handle the advertising needs of Apple. He came up with the daring and unconventional idea of advertising the Apple II in the national issue of *Playboy* magazine. He also advised Jobs to meet Don Valentine, a board member of his own agency and Atari. Valentine, in turn, suggested Steve to rope in Mike Markkula. Markkula, a former marketer for Intel, saw the potential in Apple Computer and decided to join them as an investor for a one-third stake in the company. He also brought in Mike Scott who took over as the president of the company, but had no stake in the holdings. He did get an annual salary of \$20,001, a dollar more than either of the three shareholders received. Rod Holt, a friend of Steve Jobs and an engineer who had